

Economics - Undergraduate Level Assessment 10

Instructions

- Answer all questions.

Multiple Choice

Question 1

(2 marks)

What is meant by "economic resources" or "factors of production"? Name three categories of resources.

- A. Capital, commodities, and currency
- B. raw materials, human resources and technology
- C. natural resources, artificial resources and human resources
- D. Water, oil, and minerals
- E. Intellectual property, workforce, and real estate

Question 2

(2 marks)

Potential GDP will fall ceteris paribus if

- A. tariffs protecting domestic jobs are eliminated.
- B. the literacy rate improves.
- C. the tax rate is lowered.
- D. the inflation rate decreases.
- E. there is an increase in technological advancements.

Question 3

(2 marks)

Which of the following was not a landmark antitrust act?

- A. The Antitrust Improvement Act
- B. The Federal Trade Commission Act
- C. The Clayton Act
- D. The Sherman Act
- E. The Fair Trade Act

Question 4

(2 marks)

The major economic argument for pure capitalism is that it provides maximum economic efficiency. What is the major noneconomic argument?

- A. Capitalism results in single authority
- B. Capitalism ensures job security
- C. Capitalism fosters cultural diversity
- D. Capitalism promotes personal freedom
- E. Capitalism encourages moral responsibility

Question 5

(2 marks)

Inflation

- A. stabilizes the value of currency over time.
- B. has no impact on purchasing power.
- C. increases the real value of debt.
- D. encourages households to save more.
- E. forces households to save more.

Question 1*(2 marks)*

If the market price is above the average total cost, the industry will remain unchanged as firms exit the market.

Question 2*(2 marks)*

When a nation is operating at the natural rate of unemployment, there is no cyclical unemployment present in the economy.

Question 3*(2 marks)*

The demand curve for labor is derived from the equilibrium wage in the labor market.

Question 4*(2 marks)*

According to Keynesian theory, a decrease in the money supply lowers interest rates, which discourages borrowing and reduces spending.

Question 5*(2 marks)*

The bank's actual reserves amount to \$30,000, which includes both required and excess reserves.

False

Long Form

Question 1

(10 marks)

Discuss the role and significance of product differentiation in monopolistic competition, focusing on how it affects pricing power and market dynamics for individual firms.

Type your answer here...



Question 2

(10 marks)

In what ways does a progressive income tax contribute to economic stability, and how can this mechanism help mitigate the effects of economic fluctuations?

Type your answer here...



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